

Housing Capacity and Equity Around Diridon Station

Where San José's biggest transit investment can add homes — and for whom

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2026-07-02

Note

Bottom line. Within one mile of Diridon Station, San José's zoning permits a theoretical $\approx 120,000$ homes — but the lever that matters is the Downtown core, which holds $\sim 88\%$ of that capacity and where roughly 38% of the zoned land is underbuilt (largely surface parking and vacant lots). The zoned capacity on those underbuilt “soft sites” is $\approx 42,500$ homes — or a conservative $\approx 20,600$ if every zero-footprint parcel (some of which may be rail or civic land) is set aside. Either way it is a large supply beside the region's marquee transit hub, in a neighborhood that is **69% renters** and twice as transit-dependent as the rest of the city — so capacity should be paired with anti-displacement and inclusionary tools, not unlocked on its own.

The question

Diridon is the San Francisco Bay Area's flagship transit-oriented development site: the future convergence of BART's Silicon Valley extension, California High-Speed Rail, Caltrain, and Google's “Downtown West.” It is exactly the kind of station area where regions hope to concentrate new housing. Two questions decide whether that hope is realistic:

1. **Capacity** — does the zoning actually permit enough housing near the station, and how much of it is on land that could realistically redevelop?
2. **Equity** — who lives there now, and would adding homes put them at risk?

Approach

We work at the parcel level within a 1-mile area of the Diridon Station ($\sim 5,279$ parcels, $\sim 1,420$ acres)¹. For each parcel that permits housing we compute theoretical maximum capacity as *lot acreage $\times$ maximum dwelling units per acre*, using real maximum densities from San José's zoning code² and the Diridon Station Area Plan for the Downtown core. We then narrow to soft-site capacity by keeping only **soft sites**³: high-capacity parcels that are currently vacant or barely built. This is gross zoned capacity *on underbuilt land*, not capacity net of existing units. Finally we overlay ACS 2019–2023 demographics and the City's Equity Index to characterize who lives in the station area today. Full detail and caveats are in Methods & Sources.

¹Distances are computed in California State Plane Zone 3 (US survey feet), a locally accurate projection — not Web Mercator, which inflates distances by $\sim 26\%$ at this latitude and would silently shrink the study area to ~ 0.8 mile. See Methods & Sources.

²Title 20 of the San José Municipal Code is the city's zoning ordinance. Its Table 20-136 (Ch. 20.55, Urban Village and Mixed Use districts) sets the development standards — including the maximum dwelling units per acre — for each of the mixed-use zones used here (UV, TR, UR, MUC, MUN, UVC).

³“Soft site” is planning shorthand — common in housing-element site inventories — for a parcel whose current use is well below what its zoning allows, making redevelopment plausible: vacant land, a surface parking lot, or a marginal one-story building. Here a parcel qualifies as a soft site when buildings cover less than 15% of the lot; Methods & Sources reports how the results change under other thresholds (5–25%) and the approach's limits. We identify them for this project using OpenStreetMap building-footprint coverage ($< 15\%$ of the lot built).

Finding 1 — High capacity is located downtown within 1 mile of Diridon Station

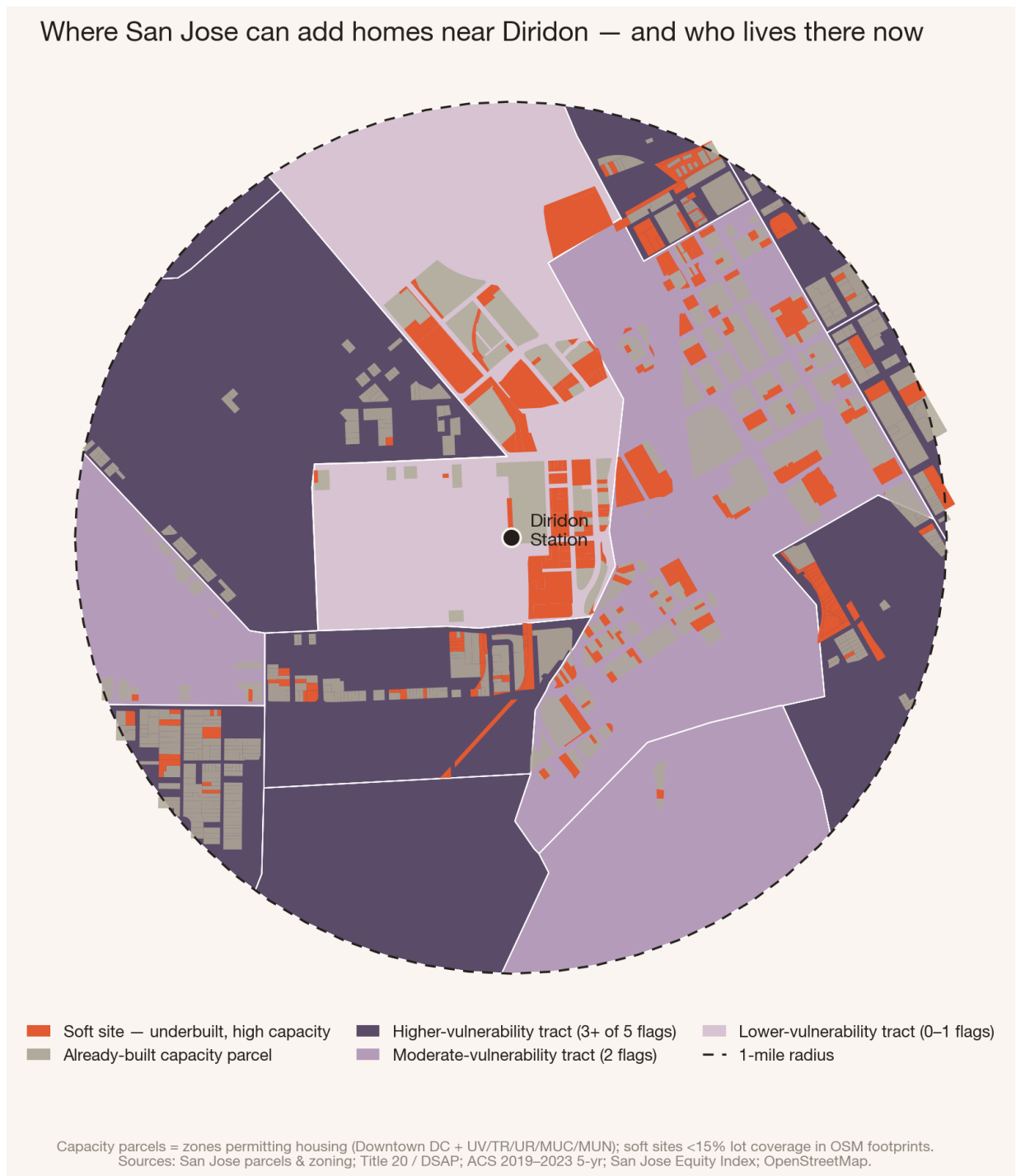


Figure 1: **The story in one map.** Coral parcels are *soft sites* — underbuilt, high-capacity lots clustered tightly around the station and through the Downtown core. They sit atop neighborhoods shaded by displacement vulnerability.

Housing capacity near Diridon comes from two kinds of zoning (Figure 3).

1. The first is familiar: the six **mixed-use / urban-village districts**, which cover about 100 acres and permit roughly 14,700 homes at mid-rise densities.

2. The second is the **Downtown (DC) core** itself — Diridon sits at downtown’s western edge, but 300 acres of it fall inside the 1-mile ring — which, under a conservative 350 du/ac cap, permits roughly 105,000 homes.

Together: $14,700 + 105,000 \approx 120,000$ **homes of gross zoned capacity**, nearly nine-tenths of it downtown. However, current estimates suggest the 1-mile area around the station falls well short of its maximum zoning potential.

There are two issues here: (1) the city doesn’t plan to build as much as it could, and (2) parking and undeveloped land.

What the City plans vs what could be done

The first gap is between what the zoning *allows* and what the City actually *plans*. Summing the City’s own growth-area programs across the ring — the Downtown growth area, the Diridon Station Area Plan, and six urban villages, each counted only for the share of its land inside the 1-mile circle — the City plans roughly **34,300 new homes** here⁴. That is ambitious by regional standards — nearly a tripling of today’s ~12,800-home stock — yet less than a third of the ~120,000-home envelope (Figure 2). The envelope is a ceiling, not a target, but the distance between them is the policy space.

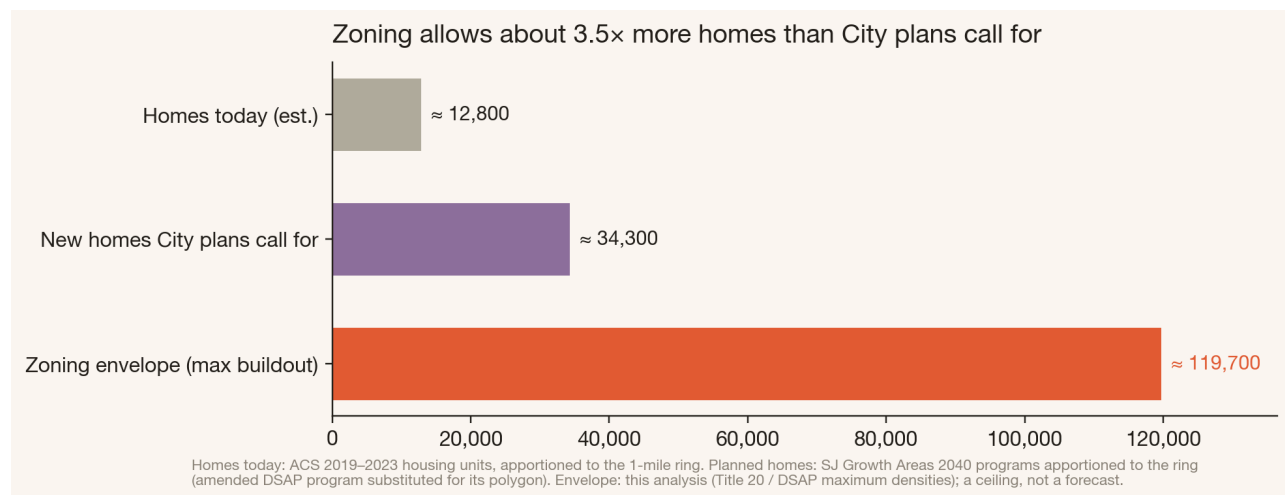


Figure 2: The City’s plans call for about 34,300 new homes in the ring — roughly 3.5× today’s stock, but less than a third of what the zoning permits. Homes-today and planned homes are areal-apportionment estimates.

Parking and undeveloped land

The second issue is what occupies the zoned land today. Much of it is already built out, but a striking share is not: roughly **38% of Downtown’s zoned land is underbuilt today, much of it surface parking**. Counting only these soft sites — parcels that are vacant, parking lots, or barely built — the zoning still supports **≈ 42,500 homes**, ~93% of them in the Downtown core. San José’s downtown parking problem is, in effect, its largest near-transit housing opportunity. Two honest qualifiers: this is gross capacity on redevelopable land, not net of existing units; and about half of it (~21,900 units) sits on parcels with no detected building at all — some genuinely vacant, some likely rail, station, or civic land. Excluding every zero-footprint parcel leaves a conservative floor of **≈ 20,600 homes**, making the defensible range **~20,600–42,500** (see FAQ).⁵

⁴San José Growth Areas 2040 (General Plan) polygons, planned housing apportioned by each area’s share of land inside the ring; the DSAP polygon overlaps the Downtown growth area, so its footprint is subtracted from Downtown’s before apportioning. For the DSAP itself we use the amended (2021) program of ~12,900 homes with a 25% affordability goal — also stated in the City’s Transit-Oriented Communities letter to MTC — rather than the pre-amendment figure (2,710) still carried in the Growth Areas layer. Detail: [output/tables/growth_areas_in_ring.csv](#).

⁵We also do not net out the active development pipeline. The City’s *Major Private Development Footprints* layer (~130 projects) records each project’s location, status, and parcels — but not unit counts — so subtracting entitled projects from soft-site capacity would require hand-collecting counts project by project. The layer would support *flagging* soft sites with active applications (several large Downtown soft sites likely overlap Google’s Downtown West), which we note as the natural next refinement.

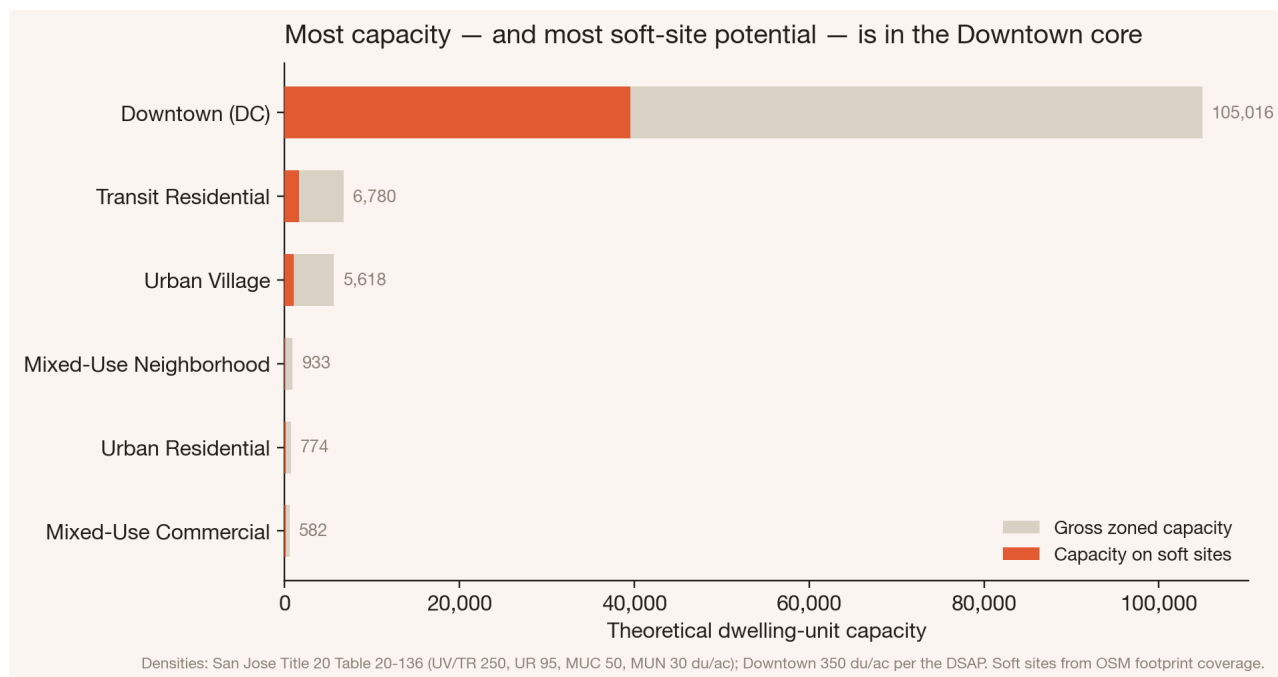


Figure 3: Gross zoned capacity (grey) versus zoned capacity on underbuilt soft sites (coral), by zone. The Downtown core dominates both.

Finding 2 — Who lives there now

The station area is not a blank slate. Compared with San José as a whole, the 1-mile area is overwhelmingly a **renters' neighborhood** and far more dependent on transit — the residents most exposed to rent pressure if redevelopment is not managed.

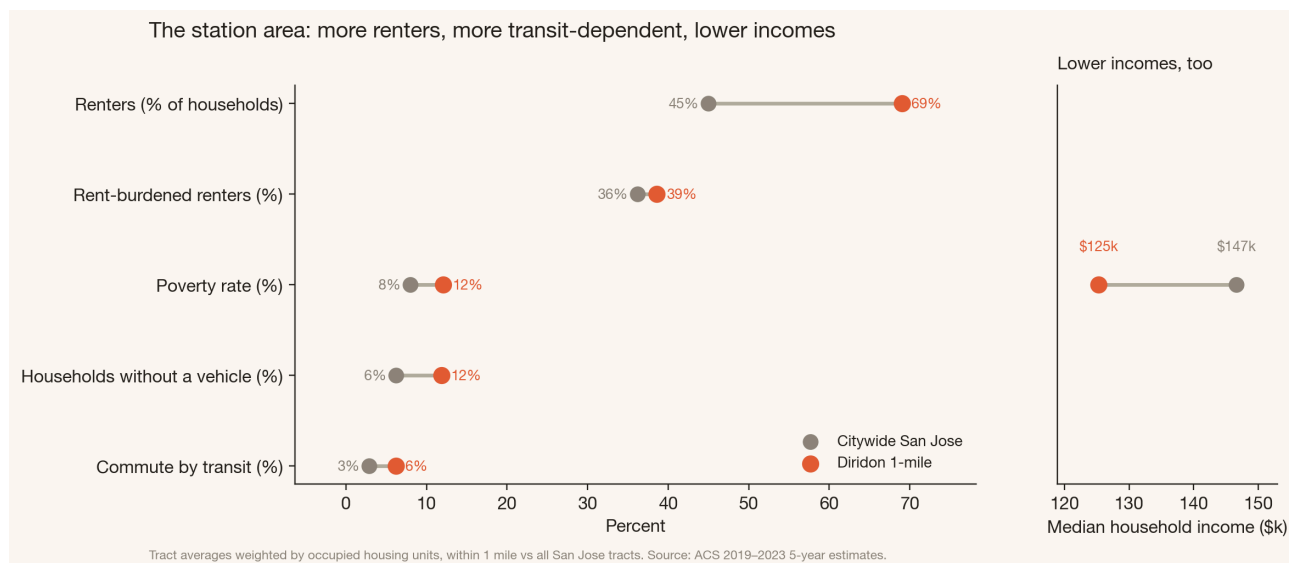


Figure 4: Station-area tracts versus citywide San José, ACS 2019–2023. The station area is markedly more renter-occupied and transit-dependent. (Whole tracts intersecting the 1-mile ring, weighted by occupied housing units.)

The overlap is real and should shape implementation: roughly **22% of the soft-site capacity sits in higher-vulnerability tracts** (3+ of 5 flags — including the station area's genuinely low-income tracts), another ~32% in moderate-vulnerability tracts, and ~46% in lower-vulnerability, largely commercial downtown land. Across the 1-mile area that means a **majority-renter, transit-reliant** population earning **below the citywide median income** — exactly the residents who benefit from new supply *and* are most vulnerable to being priced out during it.

Recommendation

Target the Downtown soft sites for mixed-income, transit-oriented housing — and pair upzoning with anti-displacement and inclusionary tools from the start.

The capacity is concentrated on underbuilt land — mostly surface parking and vacant lots — rather than on occupied housing, which suggests much of it could be added with limited *direct* displacement of existing residents (a parcel-by-parcel ownership and tenancy check would be the next step to confirm this). But because the surrounding population is renter-majority and transit-dependent, capacity alone risks raising rents faster than it adds affordability.

This pairing is the central finding of my own peer-reviewed research. Work on New York City’s rent-stabilization system shows that affordability policy is most effective when **tenant protections are coupled with inclusionary zoning** that expands supply, rather than either tool used alone.⁶ And parcel-level analysis of the *sequence* of neighborhood change shows that displacement pressure can be anticipated — and mitigated — before it arrives.⁷ Applied to Diridon: adopt soft-site upzoning **with** on-site affordability requirements, right-of-first-refusal / tenant-protection provisions for the few occupied parcels, and monitoring of the high-renter tracts the new capacity touches.

Caveats

This is **theoretical zoned capacity**, not a production forecast — it measures what the code permits, not what the market will build. Soft sites are an *open- data proxy* (footprint coverage), so the Downtown figure is a ceiling: some zero-coverage parcels are the station, rail right-of-way, or open space rather than developable land. Vulnerability flags identify *exposure*, not predicted displacement, and ACS estimates carry margins of error. See Methods & Sources for thresholds, sensitivity, and data lineage.

Tip

Sources. City of San José parcels, zoning, and Equity Index; San José Municipal Code Title 20 (Table 20-136); Diridon Station Area Plan (2021); ACS 2019–2023 5-year estimates; OpenStreetMap building footprints. Analysis and figures: Kasey Zapatka, 2026.

⁶Zapatka, K., & de Castro Galvao, B. (2022). Affordable Regulation: New York City Rent Stabilization as Housing Affordability Policy. *City & Community*. doi:10.1177/15356841221123762

⁷Zapatka, K., & Beck, B. (2021). Does demand lead supply? Gentrifiers and developers in the sequence of gentrification, New York City 2009–2016. *Urban Studies*. doi:10.1177/0042098020940596